Morgan Stanley | RESEARCH

IDEA

April 27, 2026 04:01 AM GMT

Sandisk Corporation | North America

Raising PT to $1100 as pricing stays strong

MORGAN STANLEY & CO. LLC

Joseph Moore
Equity Analyst
Joseph.Moore@morganstanley.com +1 212 761-7516

Mason Wayne
Research Associate
Mason.Wayne@morganstanley.com +1 212 761-6012

Shane Brett
Equity Analyst
Shane.Brett@morganstanley.com +1 212 761-1022

Ella Tulchinsky
Research Associate
Ella.Tulchinsky@morganstanley.com +1 212 761-2222

Nicole Kozhukhov
Research Associate
Nicole.Kozhukhov@morganstanley.com +1 212 761-1636

WHAT'S CHANGED

SanDisk Corporation. (SNDK.O)	From	To
Price Target	$690.00	**$1,100.00**

NAND near-term strength is discounted; the debate at this point is durability, and we expect pricing to remain strong as long as we remain at maximum AI investment. Not a trade on the qtr but stay OW & PT higher.

Key Takeaways

- Raising EPS estimates sharply, now 37% above consensus for Q2, 65% above for CY26 and 38% above for 2027
- A high bar for this week's earnings makes the T+1 reaction difficult to predict, but still see peak cycle FCF as underappreciated.
- LTAs remain a key part of that story, but similar to other memory earnings we don't expect to learn much about those negotiations.
- Stock at 6.5x our new 2027 FCF est vs 10x for MU, but still see longer term durability arguments favoring DRAM over NAND.
- Raising PT to $1,100

Pricing momentum in NAND continues to be robust into Q2, something we don't expect to change anytime soon as hyperscaler demands are continuing to move higher, and increasingly squeezing NAND supply in other areas. Current third-party forecasts are for overall NAND ASPs to increase in the area of 90% in Q1 and 70-75% in Q2 with some relative outperformance in client SSDs (a segment of particular strength for SNDK vs peers).

We expect that to translate into another strong quarter and outlook for Sandisk later this week; however, mix (both product and process) remains toughest to predict element. Sandisk guided Q1 pricing up about 60% q/q and bits down mid single digits on account of seasonality (modestly above typically seasonality of down about 10%) with that translating to ~95% incremental gross margins. While the industry environment has improved since Sandisk guided, that all still looks reasonable to us. Hynix (covered by Shawn Kim) reported last week and saw NAND ASPs up ~70% q/q with bits down ~10%, however; through the first two months of the quarter, industry data from SIA indicates that industry wide bits could be up q/q in Q1 so we wouldn't rule out better volumes. On the pricing side, mix can drive significant variance in q/q pricing dynamics, Sandisk should see tailwinds from a higher shift towards of enterprise and lower mobile vs the overall industry, but on the other hand it's also true that availability of DDR4 is constraining eSSD builds

SanDisk Corporation. (SNDK.O, SNDK US)

Semiconductors | United States of America

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	$1,100.00
Shr price, close (Apr 24, 2026)	$989.90
Mkt cap, curr (mm)	$143,041
52-Week Range	$1,002.09-30.31

Fiscal Year Ending	06/25	06/26e	06/27e	06/28e
EPS ($)**	2.74	53.34	155.06	134.13
Prior EPS ($)**	-	41.09	82.73	71.92
P/E	45.8	19.5	6.5	7.5
EPS ($)§	2.57	42.96	104.75	98.18
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS ($)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	-	-	-	-	-
Q2	-	-	-	-	-
Q3	-	-	-	-	-
Q4	-	-	-	-	-

e = Morgan Stanley Research estimates

somewhat (Sandisk Investing $1 Billion in Nanya Technology). If that drives a higher mix of wafer business, it could put downward pressure on ASPs (although that business can come with better margins). So while hard to be precise, all that points to a Q1 that should be modestly higher than initial guidance, and we took up our pricing estimate from 60% q/q growth to 65%, resulting in EPS of $14.72.

Exhibit 1: Assuming typical seasonal in March NAND bits are tracking well above seasonal in Q1

Current vs Prior Quarter NAND Bit Shipments				
Q4 2025	**Bits**	**Q1 2026**	**Bits**	**Diff (%)**
Oct	581,768,224	Jan	597,878,752	2.8%
Nov	747,542,408	Feb	675,970,224	-9.6%
Dec	717,047,232	Mar	903,786,372	26.0%
Total	2,046,357,864	Total	2,177,635,348	6.4%

assuming trailing 5yr average m/m seasonility in March

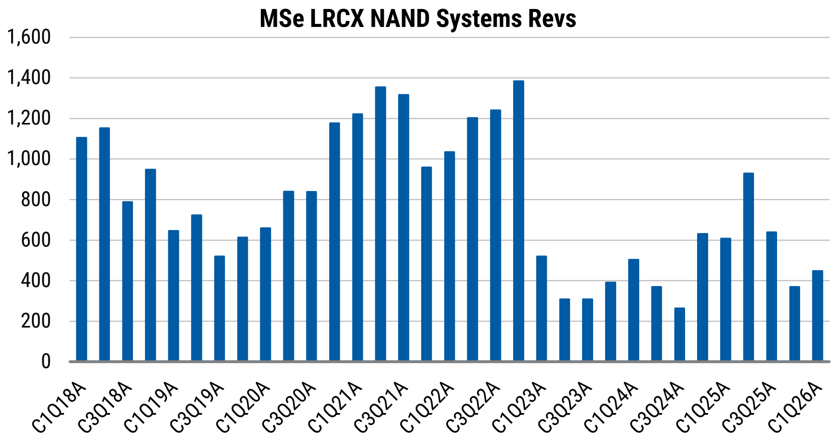
Source: Semiconductor Industry Association, Morgan Stanley

For Q2, pricing should be up significantly more than our prior assumption for up 10% q/q, and at the same time costs should begin to show more benefits from the BICs8 transition and higher mix of QLC. We model pricing increases of 50% q/q and volumes up 10%, with cost per bit declines of 1% q/q. That leaves incremental gross margins in the same range as Q1, 95.5%, bringing overall gross margins to 78.4% vs 72.7% prior. We are also raising our bit growth assumptions into the back half, now modeling 15% q/q growth in Q3 and Q4, bringing growth for the year to 22% vs 17% previously.

Near term numbers potential is well understood; this is a durability debate, and the inability to answer that has been a challenge for recent prints. We have seen other recent memory earnings where companies did not give much detail on long term agreements; this may be similar. We believe that most hyperscalers are making multiple year moves to prepay for memory, and early in the year we heard quite a bit from memory companies - including Sandisk - about those deals. But it's our sense that customers don't really want their memory suppliers to talk about the deals before they are finalized, and it's taking longer in some cases to complete deals given legal hurdles. None of that should be interpreted to mean long term deals aren't happening, and we do expect cash prepayments to show up on the balance sheet over the course of 2026 reflecting multiple years of shipments for some customers.

In terms of capital spending, we do believe that Sandisk will increase gross capex by 40-50% in FY in the next 12 months, based mostly on comments from the JV partner; but we don't see increases in spending for peers, given higher perceived returns for DRAM. We look for detail about capital returns, as cash flows are likely to surpass any prior expectations. We would expect material buybacks to come.

Exhibit 2: Key NAND WFE supplier Lam Research continues to see NAND revenues hover at historically low levels



Source: Company Data, Morgan Stanley

We continue to like the stock, but near term strength is understood; it may take awhile to believe in duration. DRAM to us remains a more severe bottleneck to AI growth, but NAND is right there, and the longer term prepayments should speak for themselves. And vs. DRAM, capex remains minimal, so supply is not a factor in catching up to demand.

We don't like valuing memory stocks on peak earnings, and continue to use through cycle potential; we have used $30, but with the next two years of earnings going above $120, we are bringing the through cycle estimate up to $48. Maintaining the semis group multiple (given through cycle), 23x, we get the PT up to $1100.

While we expect to see very strong results here, the stock is more driven by duration, and may take longer to move higher after a 60% move in the last month. But we remain OW and see the cash flow from multi year LTAs later this year as an important proof point.

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
SanDisk Corporation. SNDK.O		
June Q EPS Guide	⬆ Likely upside surprise	⬆ Meaningful revision higher

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Details on changes to PT and estimates

Exhibit 3: Changes to Sandisk estimates

	New		Old		Change (%)	
	CY2026E	CY2027E	CY2026E	CY2027E	CY2026E	CY2027E
Revenue	$32,877	$39,567	$23,156	$24,865	42%	59%
Adj Gross Margin	79.4%	80.7%	72.8%	72.5%	9%	11%
Adj EPS	$127.92	$149.68	$79.14	$80.33	62%	86%

Source: Factset, Morgan Stanley

Exhibit 4: SNDK: MS vs Consensus

MS vs. Consensus								
Figures in $ MMs	C1Q26E		C2Q26E		CY2026E		CY2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revenues	4,742	4,686	7,824	6,377	32,877	23,374	39,567	30,638
Q/Q Change	*56.8%*	*54.9%*	*65.0%*	*36.1%*				
GMs	*67.3%*	*66.3%*	*78.4%*	*70.9%*	*79.4%*	*66.5%*	*80.7%*	*70.2%*
EPS	$ 14.72	$14.43	$ 30.44	$ 22.26	$ 127.92	$ 77.55	$ 149.68	$ 105.03

Source: Factset, Morgan Stanley

Changes to PT: Our prior target price of $690 was based on 23x through-cycle EPS of $30.00, as our 2027 estimate moves to $150, we are comfortable moving the through cycle earnings up to $48; staying at 23x brings the target up to $1100.

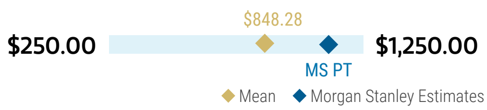
Risk Reward – SanDisk Corporation. (SNDK.O)

NAND improving quickly on the back of accelerating cloud demand

PRICE TARGET $1,100.00

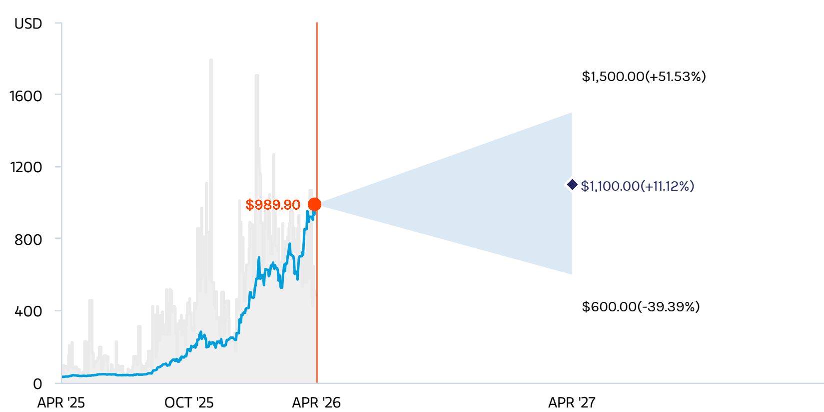
We assume 23x through-cycle EPS of $48.00 (vs. our estimate of the trailing 9-year average of $6.33). As improving industry dynamics as well as eSSD demand lead to higher levels of profitability than we have seen over the last few years, 23x is a discount to our through-cycle multiple target for MU (25x) as the lower AI exposure is offset by historically higher FCF conversion

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



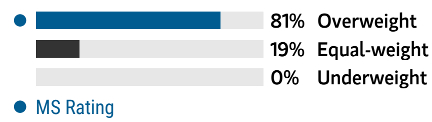
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

AI demand is in the process of transforming the NAND market, and driving peak cycle EPS to multiples of what we have seen in the past. With still minimal new investment in capacity and evolving AI demand drivers we see a long runway for upward revisions.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $1,500.00

25x through-cycle EPS of $60

Our bull case of $1500 per share represents 25x a higher through-cycle EPS of $60.00. Here future peak earnings look similar to the current environment, with AI demand supporting through cycle EPS about 40% of current cycle peak. As well as with more mild downturns, higher levels of profitability supporting a higher multiple.

BASE CASE $1,100.00

23x through-cycle EPS of $48.00

Improving industry dynamics as well as eSSD demand lead to higher levels of profitability than we have seen over the last few years, 23x is a discount to our through-cycle multiple target for MU (25x) as the lack of direct AI is offset by historically higher FCF conversion.

BEAR CASE $600.00

20x through-cycle EPS of $30.

We think Sandisk can avoid much of the pain of the last downturn ($13 per share loss), and with a better upcycle, with the multiple towards the average of the semiconductor group.

Risk Reward – SanDisk Corporation. (SNDK.O)

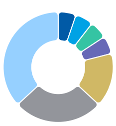
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue ($, mm)	7,355	17,898	39,730	38,050
Non-GAAP Gross Margin (%)	30.3	64.6	81.4	79.6
Non-GAAP EPS ($)	2.74	53.34	155.06	134.13
Inventory ($, mm)	2,079	2,207	2,716	2,750
DOI	145.5	125.1	131.7	127.1

INVESTMENT DRIVERS

- Improved pricing and demand strength drive earnings growth
- Position in DC SSD market improves

GLOBAL REVENUE EXPOSURE



- 0-10% Japan
- 0-10% Latin America
- 0-10% Mainland China
- 0-10% UK
- 10-20% Europe ex UK
- 20-30% North America
- 30-40% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 **BEST**	24 Month Horizon	4/5 **MOST**	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher NAND content growth from edge AI applications
- Quicker eSSD penetration in the datacenter
- Sandisk's investments in advanced memory technologies such as HBF (high Bandwidth Flash) pay dividends

RISKS TO DOWNSIDE

- NAND industry growth disappoints
- Capex growth returns as industry participants invest to gain share
- Sandisk loses market share as they fail to gain traction in datacenter
- China continues to gain share

OWNERSHIP POSITIONING

Inst. Owners, % Active	53.3%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	25.2%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e

	Low	Mean	Morgan Stanley Estimates
EPS ($)	62.43	104.75	155.06
Sales / Revenue ($, mm)	14,681	29,607	39,730
EBIT ($, mm)	6,047	18,821	29,995

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Shane Brett; Nicole Kozhukhov; Joseph Moore; Ella Tulchinsky; Mason Wayne.

.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictpolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of March 31, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Ambarella Inc, Analog Devices Inc., Applied Materials Inc., Arm Holdings plc, Astera Labs Inc, Broadcom Inc., Cadence Design Systems Inc, Intel Corporation, IonQ Inc, KLA Corp, Lam Research Corp, Marvell Technology Group Ltd, Microchip Technology Inc., Micron Technology Inc., MKS Inc., Navitas Semiconductor Corp, NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Qorvo Inc, Qualcomm Inc., **SanDisk Corporation.**, Semtech Corp., Silicon Laboratories Inc., Skyworks Solutions Inc, Synopsys Inc., Teradyne Inc, Texas Instruments, Wolfspeed, INC.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Analog Devices Inc., Broadcom Inc., Camtek, GlobalFoundries Inc, Intel Corporation, Micron Technology Inc., MKS Inc., Nova Ltd, NXP Semiconductor NV, Qualcomm Inc., Semtech Corp., Texas Instruments.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Amkor Technology Inc, Analog Devices Inc., Applied Materials Inc., Broadcom Inc., Camtek, Intel Corporation, IonQ Inc, Micron Technology Inc., MKS Inc., Nova Ltd, NXP Semiconductor NV, Qualcomm Inc., Semtech Corp., Texas Instruments.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc., Applied Materials Inc., Arm Holdings plc, Astera Labs Inc, Broadcom Inc., Cadence Design Systems Inc, Camtek, GlobalFoundries Inc, Intel Corporation, IonQ Inc, KLA Corp, Lam Research Corp, Marvell Technology Group Ltd, Microchip Technology Inc., Micron Technology Inc., MKS Inc., Navitas Semiconductor Corp, Nova Ltd, NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Qualcomm Inc., **SanDisk Corporation.**, Semtech Corp., Silicon Laboratories Inc., Skyworks Solutions Inc, Synopsys Inc., Teradyne Inc, Texas Instruments, Wolfspeed, INC.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Advanced Micro Devices, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc., Applied Materials Inc., Broadcom Inc., Cadence Design Systems Inc, GlobalFoundries Inc, Intel Corporation, Marvell Technology Group Ltd, Microchip Technology Inc., Micron Technology Inc., NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Qualcomm Inc., Silicon Laboratories Inc., Synopsys Inc., Texas Instruments.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc., Applied Materials Inc., Arm Holdings plc, Astera Labs Inc, Broadcom Inc., Cadence Design Systems Inc, Camtek, GlobalFoundries Inc, Intel Corporation, IonQ Inc, KLA Corp, Lam Research Corp, Marvell Technology Group Ltd, Microchip Technology Inc., Micron Technology Inc., MKS Inc., Navitas Semiconductor Corp, Nova Ltd, NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Qualcomm Inc., **SanDisk Corporation.**, Semtech Corp., Silicon Laboratories Inc., Skyworks Solutions Inc, Synopsys Inc., Teradyne Inc, Texas Instruments, Wolfspeed, INC.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Advanced Micro Devices, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc., Applied Materials Inc., Broadcom Inc., Cadence Design Systems Inc, GlobalFoundries Inc, Intel Corporation, IonQ Inc, Marvell Technology Group Ltd, Microchip Technology Inc., Micron Technology Inc., MKS Inc., NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Qualcomm Inc., Semtech Corp., Silicon Laboratories Inc., Synopsys Inc., Texas Instruments, Wolfspeed, INC.

Morgan Stanley & Co. LLC makes a market in the securities of Aeva Technologies Inc, Ambarella Inc, MKS Inc., Silicon Laboratories Inc..

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan

Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of March 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1534	42%	461	50%	30%	698	43%
Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

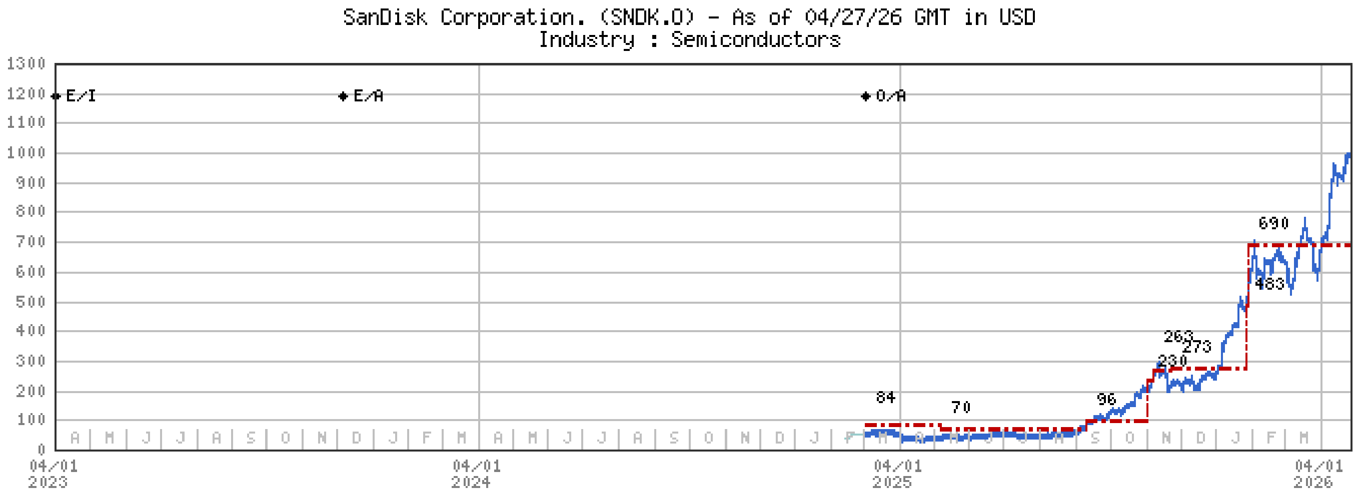
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 4/1/21 : E/I; 12/7/23 : E/A; 3/3/25 : O/A

Price Target History: 3/3/25 : 84; 5/7/25 : 70; 9/11/25 : 96; 11/2/25 : 230; 11/7/25 : 263; 11/23/25 : 273; 1/26/26 : 483; 1/29/26 : 690

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Micron Technology Inc., NVIDIA Corp.. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (http://www.morganstanley.com/terms.html). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (http://www.morganstanley.com/terms.html). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/24/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	$347.81
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	$16.17
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	$44.13
Ambarella Inc (AMBA.O)	O (03/29/2016)	$66.87
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	$78.10
Analog Devices Inc. (ADI.O)	O (11/16/2023)	$399.57
Astera Labs Inc (ALAB.O)	O (05/11/2025)	$212.84
Broadcom Inc. (AVGO.O)	O (06/09/2024)	$422.76
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	$61.79
Intel Corporation (INTC.O)	E (02/22/2023)	$82.54
IonQ Inc (IONQ.N)	E (04/25/2023)	$42.69
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	$164.31
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	$89.44
Micron Technology Inc. (MU.O)	O (10/06/2025)	$496.72
Navitas Semiconductor Corp (NVTS.O)	U (04/06/2025)	$17.28
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	$208.27
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	$244.04
ON Semiconductor Corp. (ON.O)	E (05/11/2025)	$98.40
Qorvo Inc (QRVO.O)	E (10/28/2025)	$87.80
Qualcomm Inc. (QCOM.O)	U (02/10/2026)	$148.85
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	$989.90
Semtech Corp. (SMTC.O)	E (04/06/2025)	$109.79
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	$215.50
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	$63.65
Texas Instruments (TXN.O)	U (04/13/2020)	$277.14
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	$31.23
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	$234.81
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	$332.89

Synopsys Inc. (SNPS.O)	E (02/27/2026)	$500.82

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Semiconductor Capital Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/24/2026)
Shane Brett		
Applied Materials Inc. (AMAT.O)	O (09/22/2025)	$417.04
Camtek (CAMT.O)	E (12/01/2025)	$203.00
KLA Corp (KLAC.O)	O (01/15/2026)	$1,935.00
Lam Research Corp (LRCX.O)	E (09/22/2025)	$267.78
MKS Inc. (MKSI.O)	O (08/04/2024)	$280.98
Nova Ltd (NVMI.O)	E (12/01/2025)	$542.95
Teradyne Inc (TER.O)	E (07/30/2025)	$418.08

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.